



# BESTVILLE LLC

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## *FEASIBILITY STUDY*

Bestville LLC, led by experienced shareholders Agustin Shqalsi, Naima Shqalsi, Fatos Valteri, and Denis Valteri, is strategically entering the senior living market in Florida with the establishment of a cutting-edge Continuing Care Retirement Community (CCRC). Our vision is to offer a comprehensive continuum of care, encompassing Independent Living, Assisted Living, and Skilled Nursing.

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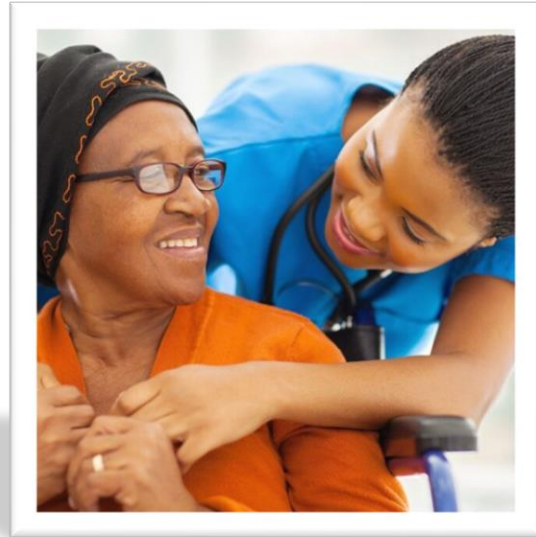
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## EXECUTIVE SUMMARY

Bestville LLC, founded by experienced shareholders Agustin Shqalsi, Naima Shqalsi, Fatos Valteri, and Denis Valteri, is poised to revolutionize senior living in Florida through the establishment of a comprehensive Continuing Care Retirement Community (CCRC). Our visionary objective is to create a complete continuum of



care, encompassing Independent Living, Assisted Living, and Skilled Nursing. As we navigate the regulatory landscape, securing provisional certificates of authority from the Florida Office of Insurance Regulation (OIR) and a provisional license, our commitment to regulatory compliance is unwavering.

In a market characterized by a substantial aging population, we recognize the opportunity to meet the increasing demand for high-quality senior care services. Through meticulous financial projections covering initial investments, operating costs, and revenue streams, Bestville LLC aims not only for financial sustainability but also to set a new standard in senior living. Our operational plan prioritizes facility design, robust staffing, and personalized services, ensuring resident-centric care and a vibrant community.

The regulatory compliance plan ensures a smooth path through the intricate regulatory landscape, securing provisional certificates of authority and licenses. Recognizing the substantial demand for senior care services in Florida, our financial projections meticulously outline initial investments, operating costs, and revenue streams, emphasizing not only financial sustainability but also a commitment to excellence.

This journey is underscored by a commitment to excellence, proactive risk mitigation, and a vision to redefine the senior living experience, making Bestville LLC a beacon in Florida's senior care landscape.

At Bestville LLC, we believe in providing step-by-step strategies in addition to time-saving managerial and operational support to bolster your business. Ultimately, there are no one-size-fits-all solutions to your business growth. That's why we take an individualized approach, leveraging proven tech integrations, HR processes, advertising techniques, and business structures to ensure your future viability in increasing competitive markets.

We have the right experience and exposure to transform the goal of the platform and brand into a great business, knowing how the business functions. The management team is going to Bestville LLC a tremendous and popular brand from an obscure little business to a national and continental trademark.

Bestville LLC is poised at all times to demonstrate her commitment to sustainability, both individually and as a firm, by actively participating in our communities and integrating sustainable business practices wherever possible.

Bestville LLC believes in building lifelong relationships, strategizing solutions for growth. With long-lasting, distinctive, and substantial solutions, we sustain to improve network and communication performance. We believe in performing the best and deliver maximum leverage to our people, building a brighter future – together.

Paramount marketing strategies proven to boost business publicity and awareness will be carried out to ensure the necessary awareness and advertisement is achieved for our company both locally and nationally. Digital methods, as well as conventional strategies, will be implemented in reaching our target audience. Social media platforms will be fully utilized; search engine optimization will also be leveraged.



## OBJECTIVES

### COMMUNITY STRUCTURE:

- Establish 1 independent living, 1 nursing bed, 30 assisted living and Skilled Nursing facilities within the CCRC.
- Provide 1 independent living, 1 nursing bed and 30 assisted living initially.

### REGULATORY APPROVAL:

- Obtain a provisional certificate of authority from the Florida Office of Insurance Regulation (OIR).
- Secure a provisional certificate of authority from the Florida OIR, allowing for the operation of the CCRC during the application process.
- Obtain a license from the Florida Agency for Health Care Administration (AHCA) to operate the CCRC.

### MARKET ANALYSIS:

- Conduct a comprehensive demographic analysis to understand the aging population's needs and preferences in Florida.
- Analyze the competitive landscape of existing CCRCs to identify service gaps and potential areas for differentiation.
- Develop financial projections, including initial investment, operating costs, and revenue forecasts for the first five years.

### OPERATIONAL PLAN:

- Design an efficient and comfortable layout for the CCRC facilities, ensuring compliance with regulatory standards.
- Define staffing requirements for each level of care, emphasizing the recruitment of qualified professionals.

- Clearly outline services provided at each level of care, focusing on personalized and high-quality care.

#### **REGULATORY COMPLIANCE:**

- Work closely with the Florida OIR to fulfill all requirements for obtaining provisional certificates of authority.
- Comply with the guidelines and regulations set by the AHCA to secure the necessary license for operating the CCRC.

#### **RISK ASSESSMENT:**

- Identify potential risks, such as regulatory changes, economic fluctuations, or unforeseen expenses.
- Develop strategies to mitigate identified risks, ensuring the resilience of Bestville LLC in the dynamic senior care industry.

#### **COMMUNITY EXPANSION:**

- Assess the feasibility of expanding the CCRC based on demand and market trends.
- Develop a phased expansion plan that aligns with the community's growth and evolving needs.

#### **QUALITY ASSURANCE:**

- Implement robust quality assurance measures to ensure the highest standards of care across all levels.
- Establish continuous improvement processes based on resident feedback and industry best practices.

#### **COMMUNITY ENGAGEMENT:**

- Foster a sense of community and engagement among residents through social activities, events, and support networks.

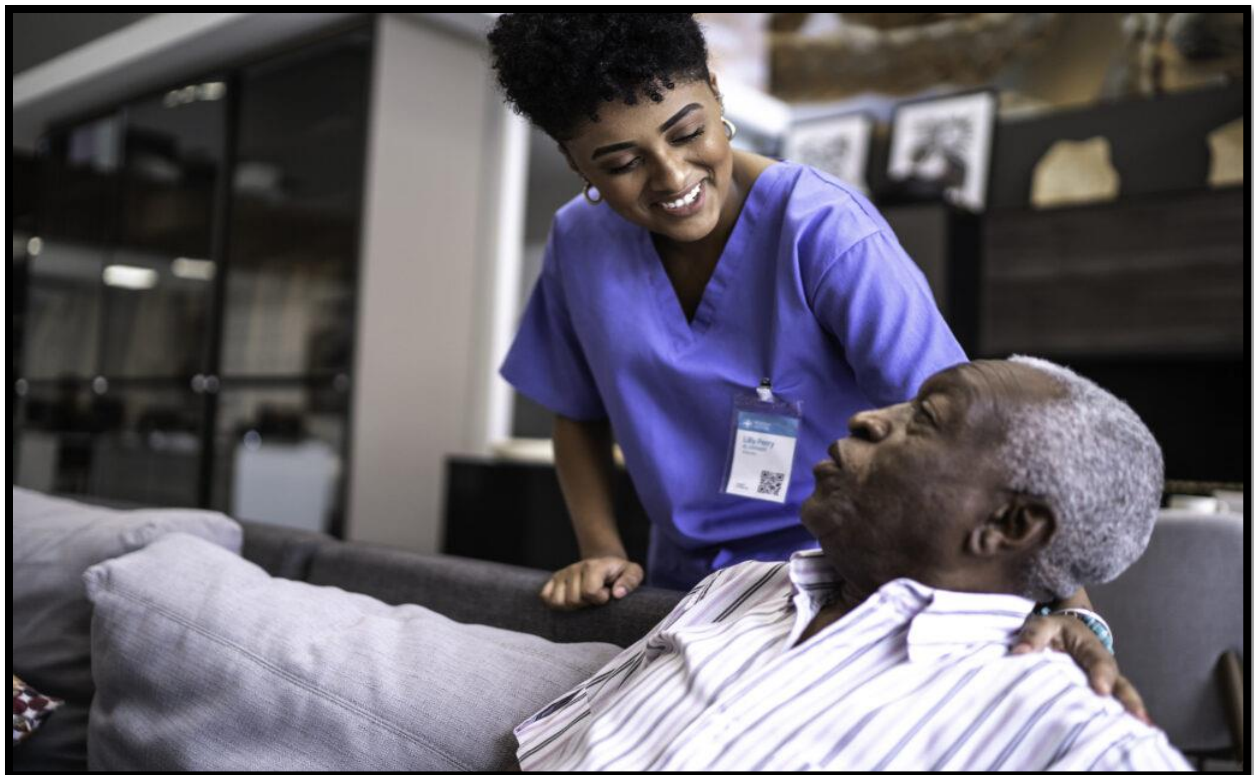
- Collaborate with local organizations and healthcare providers to enhance the overall well-being of CCRC residents.

#### **SUSTAINABILITY AND SCALABILITY:**

- Explore sustainable practices in facility management and operations.
- Develop a scalable model that allows for potential expansion into other locations based on market demand and success in Florida.

These objectives collectively form the foundation for the successful establishment and operation of Bestville LLC's CCRC in Florida. Each objective addresses a critical aspect of the venture, ensuring a comprehensive and strategic approach to senior care provision.

#### **MARKET ANALYSIS**

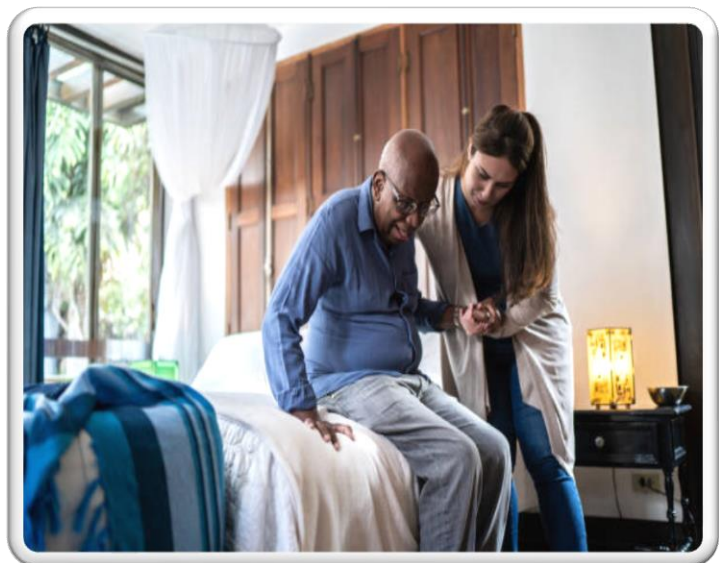


## **FLORIDA ASSISTED LIVING FACILITY MARKET: HIGHER CONCENTRATION OF RETIREES IN FLORIDA OWING TO NO TAX ON RETIREMENT INCOME IS EXPECTED TO DRIVE THE MARKET GROWTH**

Rising geriatric population due to the increasing life expectancy in the region is expected to drive the growth of the market. According to the United States Census Bureau, in 2020, the population aged 65 years and above was around 4.6 million which accounted for 21.3% of the total population in Florida. Florida ranks 2<sup>nd</sup> after Maine for the percent of the population aged 65 years and above. The average life expectancy in Florida is 80.2 years which is higher than the national average and ranks 10<sup>th</sup> among other states. Moreover, the rising demand for the assisted living in the Florida from retirees is expected to propel the growth of the market in the region. Florida has no state income tax, and it also does not tax Social Security payments or retirement income. As per Florida Health Care Association, around 3,080 licensed assisted living facilities are present in Florida which consists of around 106,103 beds.

Assisted living facilities in Florida are regulated by the Florida Agency of Healthcare Administration (AHCA).

The Florida AHCA stated Florida ALF Resident Care Standards, Florida ALF Food Services Standards, and Florida ALF Physical Plant Standards that governs the assisted living facilities in Florida. Moreover, the Florida House and the Florida Senate introduced the “*No Patient Left Alone Act*,” in 2022. As per the act, assisted living facilities,



licensed nursing homes, and hospitals are required to allow physical visitation to patients/residents for at least 2 hours.

Rising investment and favorable government policies for assisted living facilities are expected to increase the demand for assisted living facilities in Florida. Florida provides a Long-Term Care Waiver that can aid people to pay for care in assisted living facilities. The waivers are provided only to people aged 65 years and above and are residents of Florida. Moreover, the Program of All-Inclusive Care (PACE) provides medical coverage to frail senior citizens in Florida who are ineligible under Medicaid.

The costs associated with the assisted living facilities in Florida are more favorable when compared with other states such as North Carolina. The average cost of assisted living in Florida is around USD 3,500. The cost varies from the city in Florida, Naples has the highest cost of assisted living as it is the most popular city for retirement. The average cost of assisted living in Naples is around USD 5,300 and around USD 2,300 in Gainesville.

The COVID-19 pandemic has drastically affected the assisted living facility market in Florida. The facilities were temporarily closed and visits were not allowed due to the increased number of cases and deaths pertaining to COVID-19. According to the Kaiser Family Foundation, in August 2020, around 911 resident cases and around 1,683 staff cases were reported for COVID-19. The shutdown of the facilities and decreased number of admissions for assisted living resulted in financial losses for the assisted living facilities in Florida. As per Argentum, in Florida, the senior living providers including assisted living facilities reported a loss of around USD 2.38 billion in 2020 and till the 2<sup>nd</sup> quarter of 2021. Among the losses around 98% losses were uncompensated and 2% of the total loss was provided as relief to offset COVID-19 expenses. Around 1,750 facilities were operating at loss during the period in Florida. The technological advancements for assisted living facilities and the introduction of easy-to-use devices are expected to propel the growth of the market. For instance, in October 2021, assisted living facilities in Gainesville introduced virtual reality for their

residents. Oak Hammock offers a VR experience weekly to its residents at the University of Florida. Residents can experience a variety of adventures with the aid of VR goggles including travel, skydiving, or balloon rides.

Some of the prominent companies operating in the assisted living facility market in Florida are Sonata Senior Living Community, Angels Senior Living, Better Days Senior Living, The Capstone at Royal Palm, Brookdale Dr. Phillips, Oak Hammock, Mission Oaks Memory Care, Marrinson Senior Care Residences, Madison At Ocoee, and many others.

The key players in the market are adopting various strategies including building new facilities, improving access and care, and many others to stay competitive in the market. For instance, in March 2022, Solutions Advisors Group opened Sunscape Daytona Beach, a senior living providing assisted living and memory care services in Florida.

## **U.S. ASSISTED LIVING FACILITY MARKET SIZE, SHARE & TRENDS ANALYSIS REPORT BY AGE (MORE THAN 85, 75-84, 65-74, LESS THAN 65), REGION (WEST, SOUTH, MIDWEST), AND SEGMENT FORECASTS, 2023 - 2030**

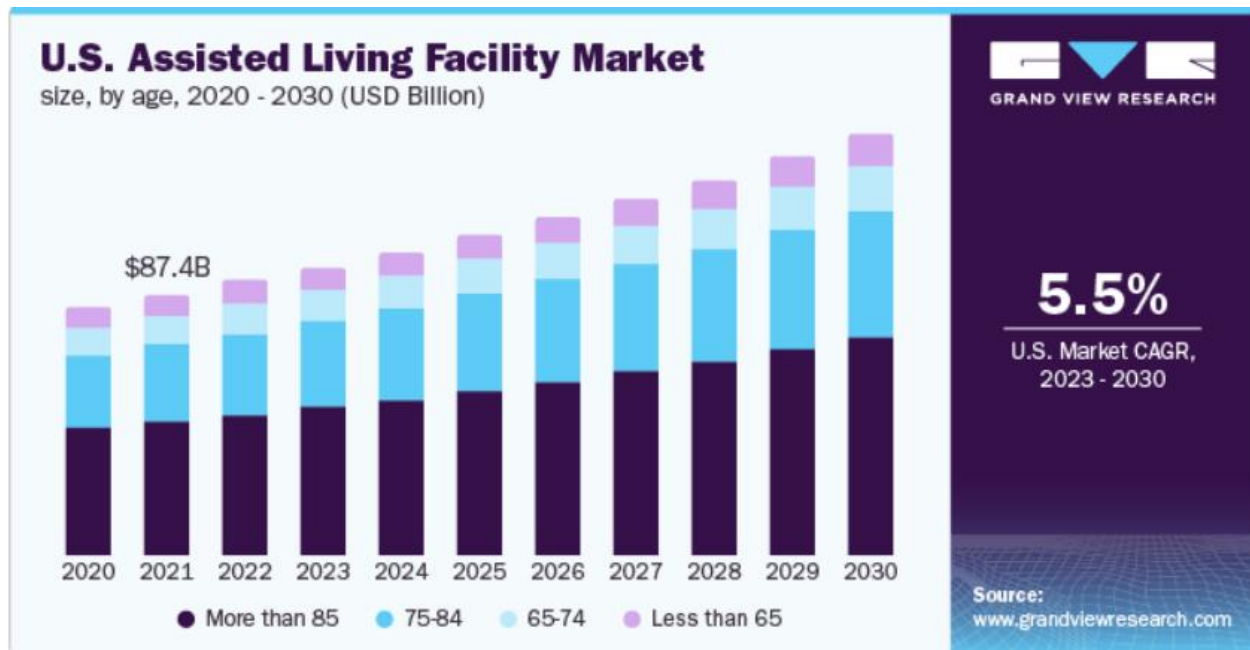
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### **REPORT OVERVIEW**

The U.S. assisted living facility market size was valued at USD 91.8 billion in 2022 and is expected to expand at a compound annual growth rate (CAGR) of 5.53% from 2023 to 2030. Major factor driving the market growth is the growing geriatric population seeking companionship, security, and assistance with daily activities, are residing in ALFs. The rise in the geriatric population due to increased life expectancy is expected to grow rapidly in the future. According to National Institute on Aging (NIA), globally, around 8.5% of the population is aged 65 and above. As per data published by Population



Reference Bureau, the number of Americans aged 65 years & above is projected to reach 95 million by 2060, from 52 million in 2018.



The rise in the geriatric population due to increased life expectancy is expected to grow rapidly in the future. According to National Institute on Aging (NIA), globally, around 8.5% of the population is aged 65 and above. As per data published by Population Reference Bureau, the number of Americans aged 65 years & above is projected to reach 95 million by 2060, from 52 million in 2018.

Technological developments for ALFs are expected to propel its U.S. market. The development of sophisticated & easy-to-use devices and services, such as Internet-enabled home monitors, telemedicine, and apps for mobile health, is likely to boost the market over the forecast period.

## The COVID-19 U.S. assisted living facility market impact: 5.0% increase from 2020 to 2021

| Pandemic Impact                                                                                                                     | Post COVID Outlook                                                                                                                                                                                                                                                                                                       |
|-------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| The cost of maintaining a high quality of care at senior care facilities has increased, especially for those with COVID-19 patients | Vaccination drive and implementation of other safety measures are expected to help facilities increase their occupancy and in turn revenue from operations                                                                                                                                                               |
| A major decline in the ALF occupancy was observed due to the high risk of infection                                                 | Adults suffering from mental illness require assisted living to sustain in mainstream society. In the U.S., mental illness is considered to be the most expensive disorder, costing about USD 201 billion annually to the nation. This is expected to translate into exponential growth in the assisted living industry. |

Over the past few years, the healthcare sector has witnessed various technological advancements, such as wireless data communication, electronic health records, telemedicine/telehealth, activity monitoring systems, fall prevention or detection systems, tracking or wandering management systems, and medication adherence systems. For instance, an electronic medication adherence system enables tracking a patient's medication schedule and whether they are following it.

Based on the nature of the population served and service provision, residents at assisted living facilities may be at a high risk of contracting COVID-19. According to the CDC, in the early months of the pandemic, around 2.1 million people lived in residential care or ALFs and nursing homes, which represent 0.6% of the U.S. population. A number of these facilities became hotspots for the transmission of the novel coronavirus and 42% of the total COVID-19 deaths in the U.S. were ALF residents.

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### AGE INSIGHTS



An increase in the baby boomer population, rising incidence of brain injury, growing prevalence of target diseases, and technological advancements are major factors contributing to the growth of the market. More than 85 years segment accounted for the largest market share of 52.35% in 2022 and is expected to register the fastest CAGR of 5.65% during the forecast period, while the 75 to 84 age group was the second largest segment in 2022.

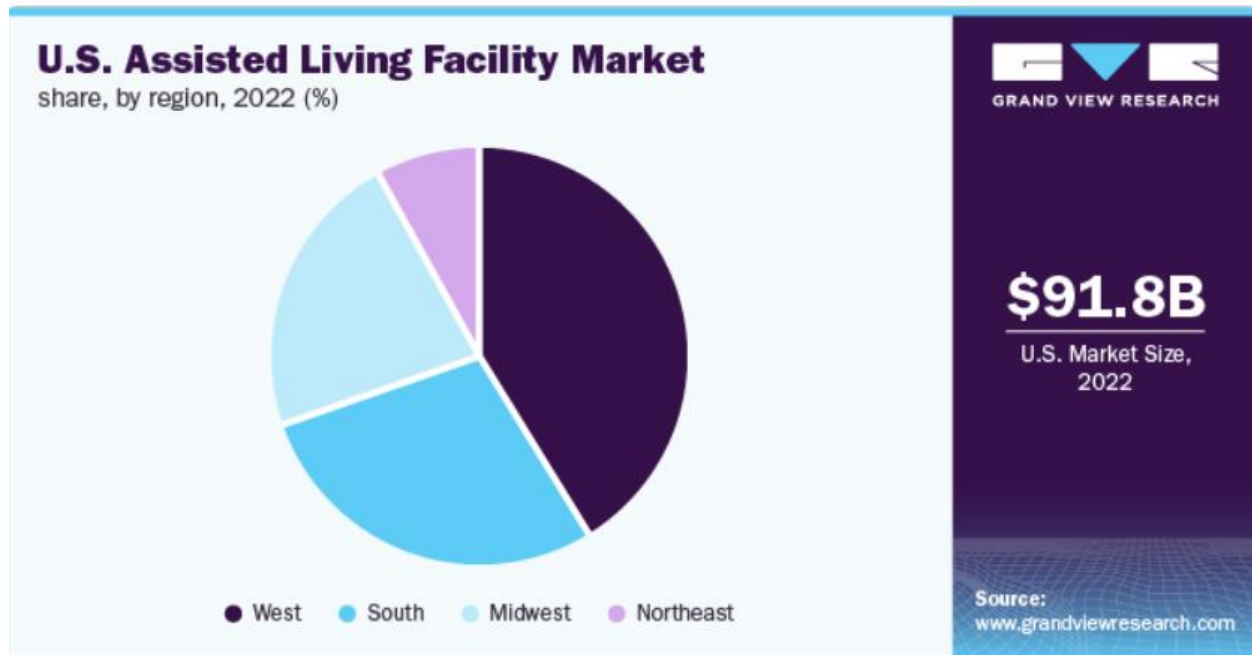
In the U.S., the growing geriatric population is seeking ALF services to improve their quality of life. According to the United States Census Bureau, the 75 to 84 age group made up roughly 14.3 million or 29% of the senior population in 2016, which is more than double the number and proportion (6.3 million or 13 percent) of those 85 & older. Around 27% of the population is between the ages of 75 and 84.

According to data published by Aging.com, two million housing facilities will be needed for senior residents for adequate living space by 2040. The concept of continual care retirement communities is gaining traction among seniors with high disposable income. Such retirement communities are known to cater to people aged 50 years and above. The idea behind these communities is to prevent seniors from relocating when additional care is needed. As a result, the less than 65 years segment is likely to receive a moderate boost over the forecast period.

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## REGIONAL INSIGHTS

On the basis of region, the market is categorized into West, South, Midwest, and Northeast. The west region dominated the segment with the largest market share of 41.38% in 2022, which can be attributed to the presence of the highest number of ALFs in the region. The South is expected to witness the fastest growth owing to the increasing geriatric population and rising demand for senior care facilities.



ALFs in the South are evenly distributed among small, medium, and large facilities. Some of the largest senior care organizations, such as Brookdale Senior Living, Inc. and Sunrise Senior Living, Inc. are located in the South. The south region is estimated to register the fastest CAGR of 6.20% from 2023 to 2030. Texas is one of the fastest-growing states in terms of improved living conditions and a number of facilities for senior residents. However, ALFs in certain states of the Southern region are facing a shortage of healthcare workers.

#### KEY COMPANIES & MARKET SHARE INSIGHTS

The U.S. market for the assisted living facility is consolidated with a presence of a few large and various medium & small service providers. Sunrise Senior Living, Brookdale Senior Living, and Kindred Healthcare, LLC are some of the established ALF providers in the U.S. Service providers are taking initiatives such as the construction of new facilities to strengthen their market presence. For instance, in January 2021, Kindred Healthcare, LLC and Tampa General Hospital initiated the construction of a joint rehabilitation facility as per their joint venture in May 2020.

Some of the key players in the U.S. assisted living facility market include:

- Kindred Healthcare, LLC
- Brookdale Senior Living Inc.
- Sunrise Senior Living, LLC
- Atria Senior Living, Inc.
- Five Star Senior Living
- Capital Senior Living
- Merrill Gardens
- Integral Senior Living (ISL)
- Belmont Village, L.P.
- Gardant Management Solutions

## U.S. Assisted Living Facility Market Report Scope

| Report Attribute              | Details                                                                              |
|-------------------------------|--------------------------------------------------------------------------------------|
| The market size value in 2023 | USD 96.6 billion                                                                     |
| The revenue forecast in 2030  | USD 140.8 billion                                                                    |
| Growth rate                   | CAGR of 5.53% from 2023 to 2030                                                      |
| The base year for estimation  | 2022                                                                                 |
| Historical data               | 2017 - 2021                                                                          |
| Forecast period               | 2023 - 2030                                                                          |
| Quantitative units            | Revenue in USD billion and CAGR from 2023 to 2030                                    |
| Segments covered              | Age, region                                                                          |
| Report coverage               | Revenue forecast, company ranking, competitive landscape, growth factors, and trends |

|                        |                                                                                                                                                                                                                                                                 |
|------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Regional scope         | West; South; Midwest; Northeast                                                                                                                                                                                                                                 |
| Key companies profiled | Kindred Healthcare, LLC; Brookdale Senior Living Inc.; Sunrise Senior Living, LLC; Atria Senior Living, Inc.; Five Star Senior Living; Capital Senior Living; Merrill Gardens; Integral Senior Living (ISL); Belmont Village, L.P; Gardant Management Solutions |
| Customization scope    | Free report customization (equivalent to up to 8 analyst working days) with purchase. Addition or alteration to country, regional & segment scope.                                                                                                              |

## U.S. ASSISTED LIVING FACILITY MARKET SEGMENTATION

This report forecasts revenue growth at country levels and provides an analysis of the latest industry trends in each of the sub-segments from 2017 to 2030. For this study, Grand View Research has segmented the U.S. assisted living facility market report based on age and region:



- **Age Outlook (Revenue, USD Billion, 2017 - 2030)**
  - More than 85
  - 75-84
  - 65-74
  - Less than 65
- **Region Outlook (Revenue, USD Billion, 2017 - 2030)**
  - West
  - South
  - Midwest

- Northeast



## UNITED STATES SENIOR LIVING MARKET ANALYSIS

The United States Senior Living Market size is expected to grow from USD 94.51 billion in 2023 to USD 124.22 billion by 2028, at a CAGR of 5.62% during the forecast period (2023-2028).

- Assisted living and independent living properties both experienced significant growth in occupancy rates, accounting for more than 80% and 70%, respectively. In addition, the market experienced the highest occupancy rates in San Jose (83.7%), Portland (83.4%), San Francisco (83.4%), etc. Also, low occupancy rates were noted in Houston (73.0%), Atlanta (74.8%), Las Vegas (74.9%), etc.

- Most of the senior housing communities are present in the Southeast region of the United States, with 3,706 communities, followed by West (3,436), Northeast (3,320), North Central (3,303), and South Central (2,244). The Southeast region includes North Carolina, South Carolina, Tennessee, Georgia, Florida, Alabama, Mississippi, Arkansas, Louisiana, and Texas.
- The Northeast region includes Maine, New Hampshire, Vermont, Massachusetts, Rhode Island, Connecticut, New York, New Jersey, and Pennsylvania. The West region comprises Montana, Idaho, Wyoming, Colorado, New Mexico, Arizona, Utah, Nevada, California, Oregon, Washington, Alaska, and Hawaii.

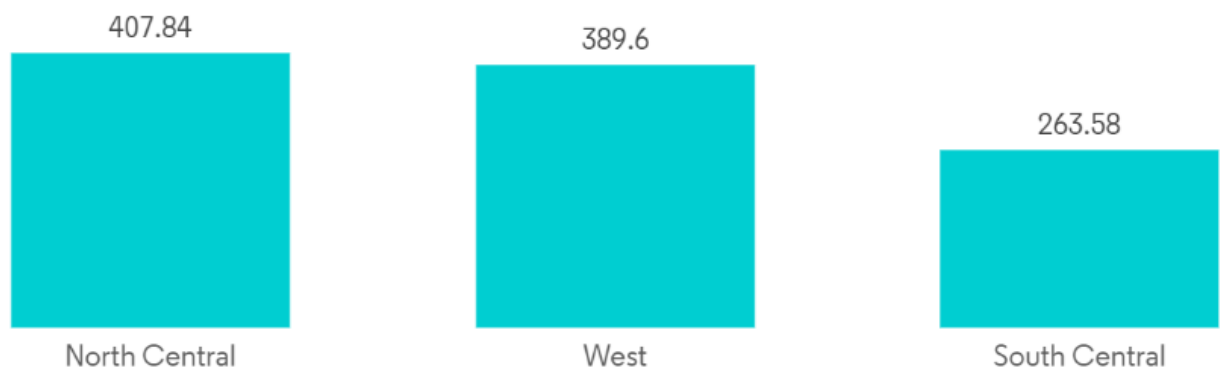
## **UNITED STATES SENIOR LIVING MARKET TRENDS**

### **SENIOR HOUSING WITNESSING INCREASED DEMAND**

- The senior housing sector is experiencing significant growth and is popular for real estate investments. The demand for this sector is driven by a growing aging population in the country and their healthcare needs.
- Furthermore, a rise in the country's citizens' life expectancy calls for increased senior housing investments to support a longer-living population. According to the Centers for Disease Control and Prevention, the average life expectancy in the country was 76.4 years in 2022, which will increase to 85.6 in 2060 due to medical innovations, prevention programs, and support and medication for chronic diseases.
- As rental rates rose at the highest rate in NIC history year over year, senior housing occupancy rates climbed for the fifth consecutive quarter. In the third quarter of 2022, senior living occupancy rose one percentage point to 82.2%, showing that the post-Covid-19 recovery is progressing gradually.
- According to NIC, the demand for assisted living has increased more than the demand for autonomous living. Although occupancy in assisted living facilities

has not yet returned to pre-pandemic levels, this is because additional inventory was added during the pandemic.

- Boston and Minneapolis had the greatest occupancy rates in the third quarter of the 31 major NIC MAP Vision metro markets, at 88.3% and 86.2%, respectively, while Houston, Atlanta, and Cleveland had the lowest rates, at 76.8%, 78.1%, and 79.1%, respectively.
- Strong demand that outpaced inventory development was the primary driver of the increase in 3Q. In the 31 NIC MAP Vision main markets as of the quarter, there were only 2,400 occupied senior living units, less than pre-pandemic levels.



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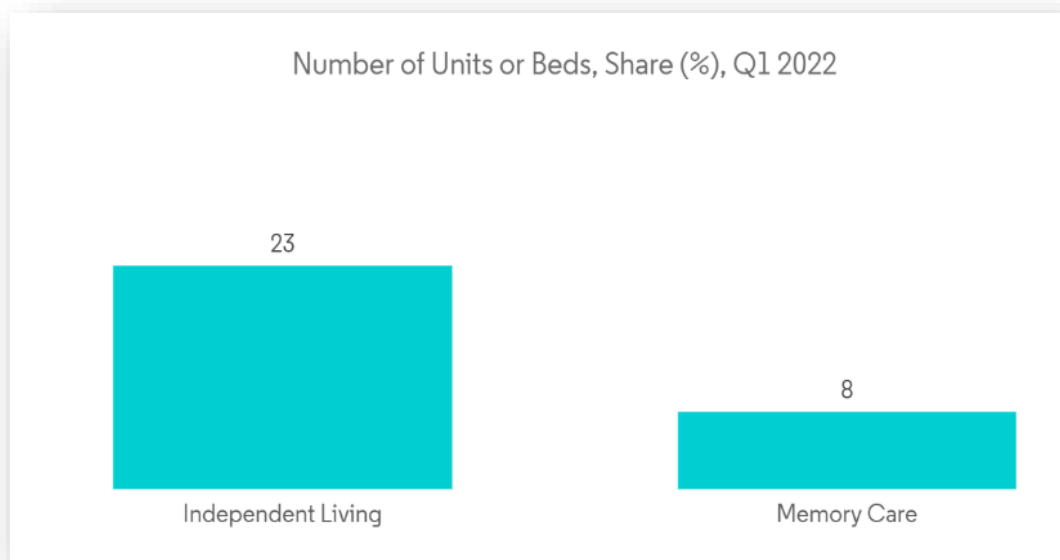
## **NURSING CARE COMMUNITIES EXPERIENCING SIGNIFICANT GROWTH**

- The demand for nursing care is increasing significantly due to the increase in the baby boomer generation, born before World War 2, in the United States. This aging population requires higher health support and more senior living communities.
- Furthermore, the nursing community sector is driven by severe health conditions of senior citizens, such as chronic heart diseases, Alzheimer's and dementia,



arthritis, and high blood pressure, which need to be monitored by skilled nursing staff.

- In addition, they provide typical services, including nursing care, 24-hour supervision, three meals a day, and assistance with everyday activities. These centers also provide rehabilitation services, such as physical, occupational, speech therapy, etc.
- On the other hand, the prices of the beds increased by 22%, with expenses averaging USD 3,320 per bed for nursing care. In addition, a major number of service units or beds are contributed with nursing care, amounting to more than 46%, which accounts for approximately 43,725 beds with the skilled nursing staff.



The senior living market is fragmented in the United States. Furthermore, the market is majorly dominated by local and small developers. Higher competition exists among the fragmented players.

In addition, players are expanding their businesses through mergers, acquisitions, strategic partnerships, and new project launches to meet customer needs. Some of the major players in the market include Brookdale Senior Living Inc., Five Star Senior Living, Sunrise Senior Living, Holiday Retirement, and LCS.

### UNITED STATES SENIOR LIVING MARKET NEWS

- **Apr 2023:** For seniors looking for innovative, high-quality care, Avista Senior Living is transitioning away from its SafelyYou partnership to empower safer, more personalized dementia care with real-time, AI video and remote clinical experts 24/7.
- **Feb 2023:** Lee Equity Partners LLP (Lee Equity), a specialized investment firm advised by funds advised by the Lee Equity Group LLC (the 'Lee Equity Group'), entered into an investment agreement to form a strategic partnership with Integral Senior Living Management LLC (ISL) to form a senior living management company that will be the fifth-largest senior living operator in the US, with a nationwide presence and leading management capabilities.

### UNITED STATES SENIOR LIVING INDUSTRY SEGMENTATION

The US senior living market provides a wide range of housing and lifestyle options suitable for the needs of an aging population.

The report on the US senior living market includes market dynamics, technological trends, insights, and government initiatives related to the market. The report covers segmentation by property type (assisted living, independent living, memory care,

nursing care, and other property types) and key states (New York, Illinois, California, North Carolina, Washington, and the Rest of the United States). The report offers the market size in value terms in USD for all the above mentioned segments.

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**SOURCE:**

<https://www.grandviewresearch.com/research-insights/florida-assisted-living-facility-industry>

<https://www.grandviewresearch.com/industry-analysis/us-assisted-living-facility-market>

<https://www.mordorintelligence.com/industry-reports/united-states-senior-living-market>

## SWOT ANALYSIS

A SWOT analysis (Strengths, Weaknesses, Opportunities, Threats) is a strategic planning tool that assesses internal and external factors influencing a project. The following SWOT analysis is tailored for BESTVILLE LLC.

### STRENGTHS:

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**EXPERIENCED SHAREHOLDERS:**

- The presence of shareholders with experience in healthcare and business provides a solid foundation for Bestville LLC.

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**COMPREHENSIVE CARE SPECTRUM:**

- Offering Independent Living, Assisted Living, and Skilled Nursing services provides a holistic continuum of care for residents.

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**FIRST-COME-FIRST-SERVE BED ALLOCATION:**

- The provision of 29 Skilled Nursing beds on a first-come-first-serve basis creates a sense of urgency and exclusivity, potentially attracting residents quickly.

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**STRATEGIC LOCATION IN FLORIDA:**

- Florida's aging population presents a significant market opportunity, and the strategic location enhances the potential for high demand.

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**QUALITY ASSURANCE COMMITMENT:**

The commitment to implementing robust quality assurance measures ensures residents receive the highest standards of care.

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**WEAKNESSES:**

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**INITIAL BED CAPACITY:**

- The initial provision of one unit for Independent Living, Assisted Living, and Skilled Nursing may limit the number of residents in the early stages.

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**LIMITED BRAND RECOGNITION:**

- Bestville LLC may face challenges in a competitive market due to limited brand recognition, especially compared to established competitors.

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**DEPENDENCY ON REGULATORY APPROVALS:**

- The success of the venture is heavily dependent on obtaining provisional certificates of authority and a license from regulatory bodies.

## **OPPORTUNITIES:**

### **MARKET GROWTH IN SENIOR CARE:**

- The growing demand for senior care services in Florida provides opportunities for Bestville LLC to capture a significant market share.

### **INNOVATION IN SENIOR CARE SERVICES:**

- Implementing innovative technologies and care programs can differentiate Bestville LLC in the market, attracting tech-savvy seniors.

### **COLLABORATION WITH HEALTHCARE PROVIDERS:**

- Establishing partnerships with local healthcare providers can enhance the range and quality of healthcare services offered.

### **COMMUNITY ENGAGEMENT INITIATIVES:**

- Creating meaningful community engagement programs can foster a strong sense of belonging among residents, contributing to satisfaction and retention.

## **THREATS:**

### **REGULATORY CHALLENGES:**

- Delays or complications in obtaining the necessary regulatory approvals can pose a significant threat to the timely launch and operation of the CCRC.

### **INTENSE COMPETITION:**

- Competing with established CCRCs in the region may pose challenges in terms of market penetration and attracting residents.

### **ECONOMIC DOWNTURN:**

- Economic uncertainties and downturns may affect the disposable income of seniors, impacting their ability to afford CCRC services.

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## **CHANGING HEALTHCARE POLICIES:**

- Shifts in healthcare policies and regulations may require adjustments to Bestville LLC's operational model, impacting costs and compliance.

## **OPERATION PLAN**

This operational plan outlines the key steps and considerations for the successful establishment and ongoing operation of Bestville LLC's CCRC in Florida. By focusing on



facility design, staffing, services, quality assurance, technology integration, and other critical aspects, Bestville LLC aims to provide a high standard of care and create a thriving, supportive community for its residents. Regular monitoring, adaptation to industry changes, and a commitment to excellence will be essential for the long-term success of the CCRC.

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## **FACILITY DESIGN AND CONSTRUCTION:**

- Collaborate with architects and construction professionals to design and build the CCRC facilities.
- Ensure compliance with all regulatory standards and guidelines for senior living communities.
- Prioritize accessibility, safety, and a comfortable living environment.

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## **STAFFING:**

- Develop a comprehensive staffing plan for each level of care (Independent Living, Assisted Living, Skilled Nursing).
- Recruit qualified and experienced healthcare professionals, including nurses, caregivers, and administrative staff.
- Implement continuous training programs to enhance staff skills and ensure high-quality care.

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#### **SERVICES OFFERED:**

- Clearly define and communicate the services provided at each level of care.
- Develop personalized care plans for residents, ensuring individual needs are met.
- Implement wellness programs, social activities, and other amenities to enhance residents' overall well-being.

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#### **QUALITY ASSURANCE:**

- Establish quality assurance protocols to monitor and enhance the quality of care.
- Conduct regular assessments and audits to identify areas for improvement.
- Implement resident feedback mechanisms to ensure continuous improvement.

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#### **TECHNOLOGY INTEGRATION:**

- Integrate innovative technologies to enhance resident care and operational efficiency.
- Implement electronic health records (EHR) systems for seamless information management.
- Explore telehealth options to provide convenient access to healthcare services.

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#### **REGULATORY COMPLIANCE:**

- Work closely with regulatory bodies, including the Florida Office of Insurance Regulation (OIR) and the Agency for Health Care Administration (AHCA).
- Develop and maintain documentation and processes to ensure ongoing compliance with state regulations.

- Establish a compliance officer or team responsible for monitoring and addressing regulatory requirements.

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#### **COMMUNITY ENGAGEMENT:**

- Develop community engagement initiatives to foster a sense of belonging among residents.
- Organize social events, support groups, and educational programs to promote a vibrant community.
- Establish communication channels for residents and their families to provide feedback and address concerns.

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#### **MARKETING AND BRANDING:**

- Develop a comprehensive marketing strategy to build brand awareness.
- Highlight unique features, services, and the commitment to quality care.
- Utilize online and offline channels to reach potential residents and their families.

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#### **FINANCIAL MANAGEMENT:**

- Implement robust financial management practices to ensure fiscal responsibility.
- Develop budgetary plans for initial investments, operating costs, and future expansions.
- Regularly review financial performance and adjust strategies as needed.

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#### **SECURITY AND SAFETY MEASURES:**

- Implement security measures to ensure the safety of residents and staff.
- Develop emergency response plans and conduct regular drills.
- Collaborate with local law enforcement and healthcare providers for additional support.

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#### **EXPANSION PLANNING:**

- Assess the feasibility of expansion based on demand and market trends.



- Develop a phased expansion plan to accommodate a growing resident population.
- Consider partnerships or collaborations for successful expansion initiatives.

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#### **ENVIRONMENTAL SUSTAINABILITY:**

- Explore sustainable practices in facility management and operations.
- Implement energy-efficient technologies and waste reduction initiatives.
- Demonstrate a commitment to environmental responsibility.

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#### **CONTINUOUS IMPROVEMENT:**

- Establish a culture of continuous improvement across all aspects of CCRC operations.
- Encourage staff input and innovation to identify and implement best practices.
- Regularly review operational processes and adapt to changing industry standards.

### **REGULATORY COMPLIANCE**

Compliance with regulatory standards is critical for the successful establishment and operation of a Continuing Care Retirement Community (CCRC) in Florida. Bestville LLC will diligently adhere to the requirements set forth by the Florida Office of Insurance Regulation (OIR) and the Agency for Health Care Administration (AHCA). The regulatory compliance plan encompasses the following key components:

#### **PROVISIONAL CERTIFICATES OF AUTHORITY (OIR):**

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##### **APPLICATION PROCESS:**

- Prepare a comprehensive application for provisional certificates of authority from the OIR.
- Ensure all required documentation is accurate, complete, and submitted within specified timelines.

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##### **COLLABORATION WITH OIR:**

- Establish open lines of communication with OIR representatives to address inquiries promptly.
- Participate in any required meetings or discussions related to the application process.

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#### **FINANCIAL VIABILITY:**

- Demonstrate financial stability and viability to meet OIR requirements.
- Provide audited financial statements and other relevant financial documents as part of the application.

#### **PROVISIONAL LICENSE (OIR AND AHCA):**

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#### **JOINT APPLICATION PROCESS:**

- Coordinate the application processes for provisional certificates of authority (OIR) and the provisional license (AHCA).
- Ensure consistency and alignment between the two applications.

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#### **FACILITY INSPECTION:**

- Prepare the CCRC facilities for inspection by AHCA representatives.
- Address any identified deficiencies promptly and thoroughly.

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#### **REGULATORY TRAINING:**

- Provide regulatory training to staff members to ensure ongoing compliance with both OIR and AHCA standards.

#### **LICENSE TO OPERATE (AHCA):**

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**FULL LICENSE APPLICATION:**

- Prepare and submit a comprehensive application for the full license to operate the CCRC with AHCA.
- Include all required documentation, such as policies, procedures, and staffing plans.

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**STAFF BACKGROUND CHECKS:**

- Conduct thorough background checks for all staff members, in accordance with AHCA regulations.
- Ensure compliance with employee screening requirements.

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**RESIDENT CONTRACTS AND DISCLOSURES:**

- Develop resident contracts that align with AHCA guidelines and regulations.
- Provide residents with all required disclosures regarding fees, services, and terms of residency.

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**ONGOING COMPLIANCE MONITORING:**

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**COMPLIANCE OFFICER:**

- Appoint a dedicated compliance officer responsible for monitoring ongoing regulatory compliance.
- Provide the compliance officer with training and resources to stay abreast of regulatory changes.

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**REGULAR AUDITS AND ASSESSMENTS:**

- Conduct regular internal audits to assess compliance with OIR and AHCA standards.
- Engage external auditors periodically to provide an independent assessment.

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## **REPORTING AND DOCUMENTATION:**

- Establish a systematic process for reporting compliance to regulatory agencies.
- Maintain accurate and up-to-date documentation of all compliance-related activities.

## **EMERGENCY PREPAREDNESS AND RESPONSE:**

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### **EMERGENCY PLANS:**

- Develop and implement emergency preparedness plans in accordance with AHCA requirements.
- Conduct regular drills and training sessions for staff to ensure readiness.

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### **COMMUNICATION WITH AUTHORITIES:**

- Establish communication protocols with relevant authorities in case of emergencies.
- Ensure that AHCA is promptly informed of any significant incidents or emergencies.

Bestville LLC is committed to maintaining the highest standards of regulatory compliance. This plan will be continuously reviewed and updated to adapt to any changes in regulations and ensure the CCRC operates within the legal framework, providing residents with a safe and secure environment.

## **RISK ANALYSIS**

### **REGULATORY COMPLIANCE RISKS:**

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#### **RISK:**

- Delays or challenges in obtaining provisional certificates of authority and the full license from regulatory bodies.

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**MITIGATION:**

- Maintain open communication with regulatory agencies.
- Have a dedicated compliance officer overseeing the process.
- Stay informed about changes in regulations and adjust plans accordingly.

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**MARKET DEMAND AND COMPETITION RISKS:**

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**RISK:**

- Unforeseen fluctuations in the demand for senior care services and intense competition.

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**MITIGATION:**

- Conduct thorough market research to understand demand.
- Develop effective marketing strategies to differentiate from competitors.
- Regularly assess market dynamics and adapt services accordingly.

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**ECONOMIC DOWNTURN RISKS:**

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**RISK:**

- Economic uncertainties impacting seniors' ability to afford CCRC services.

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**MITIGATION:**

- Diversify revenue streams.
- Implement flexible pricing models.
- Monitor economic indicators and adjust financial plans accordingly.

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**OPERATIONAL RISKS:**

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**RISK:**

- Operational disruptions due to staff turnover, unforeseen maintenance issues, or emergencies.

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**MITIGATION:**

- Implement comprehensive staff training and retention programs.
- Develop and practice emergency response plans.
- Regularly assess and maintain facility infrastructure.

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**FINANCIAL RISKS:**

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**RISK:**

- Unforeseen expenses, budget overruns, or insufficient revenue generation.

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**MITIGATION:**

- Regularly update financial projections and budgets.
- Establish contingency funds for unexpected expenses.
- Monitor and adjust financial strategies based on actual performance.

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**COMMUNITY REPUTATION RISKS:**

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**RISK:**

- Negative publicity or poor reviews impacting the CCRC's reputation.

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**MITIGATION:**

- Implement robust quality assurance measures.
- Establish transparent communication channels with residents and their families.
- Act promptly to address and resolve any issues.

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**HEALTHCARE AND PANDEMIC RISKS:**

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**RISK:**

- Public health crises, such as pandemics, affecting resident health and facility operations.

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**MITIGATION:**

- Develop and maintain infection control protocols.
- Collaborate with healthcare providers for crisis management.
- Stay updated on public health guidelines and adjust policies accordingly.

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**TECHNOLOGY RISKS:**

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**RISK:**

- Technological failures impacting resident care, data security, or operational efficiency.

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**MITIGATION:**

- Regularly update and maintain technology systems.
- Provide staff training on technology use.
- Implement cybersecurity measures to protect resident and operational data.

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**LEGAL AND LIABILITY RISKS:**

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**RISK:**

- Legal disputes, liability claims, or lawsuits.

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**MITIGATION:**

- Implement thorough resident contracts and disclosures.
- Obtain comprehensive liability insurance coverage.
- Consult legal professionals for compliance with applicable laws and regulations.



## **NATURAL DISASTER AND ENVIRONMENTAL RISKS:**

### **RISK:**

- Disruptions caused by natural disasters, such as hurricanes or floods.

### **MITIGATION:**

- Develop and practice emergency response plans for natural disasters.
- Implement environmentally sustainable practices.
- Collaborate with local authorities for disaster preparedness.

## **CONTINUOUS MONITORING AND ADAPTATION:**

- Establish a risk management committee to regularly review and update risk assessments.
- Continuously monitor industry trends, regulatory changes, and external factors that may impact the CCRC.



- Implement feedback loops for residents, staff, and stakeholders to identify and address emerging risks.

By proactively identifying and addressing these risks, Bestville LLC can enhance its resilience, protect its residents and assets, and position itself for sustained success in the dynamic senior care industry. Regular risk assessments and adaptive strategies are crucial for navigating uncertainties and ensuring the CCRC's long-term viability.

## CONCLUSION:

In conclusion, Bestville LLC's venture into establishing a Continuing Care Retirement Community (CCRC) in Florida is marked by a strategic vision, commitment to excellence, and a thorough understanding of the evolving senior care landscape. With experienced shareholders at the helm, Bestville LLC aims to redefine the senior living experience by offering a comprehensive continuum of care and fostering a vibrant community.

The regulatory compliance plan ensures a solid foundation, emphasizing collaboration with regulatory bodies, while meticulous financial projections and risk mitigation strategies underscore our commitment to financial sustainability and resilience.

Bestville LLC's operational plan outlines a holistic approach, focusing on facility design, staffing, and personalized services to provide the highest standards of care. As we embark on this transformative journey, our dedication to excellence, proactive risk management, and a resident-centric philosophy position Bestville LLC as a trailblazer in the Florida senior living market, setting new benchmarks and enriching the lives of our residents.

## FINANCIAL PLAN

The following section contains the financial information for **Health Care Licensing**. Tables and charts show annual projections for the first five business years.

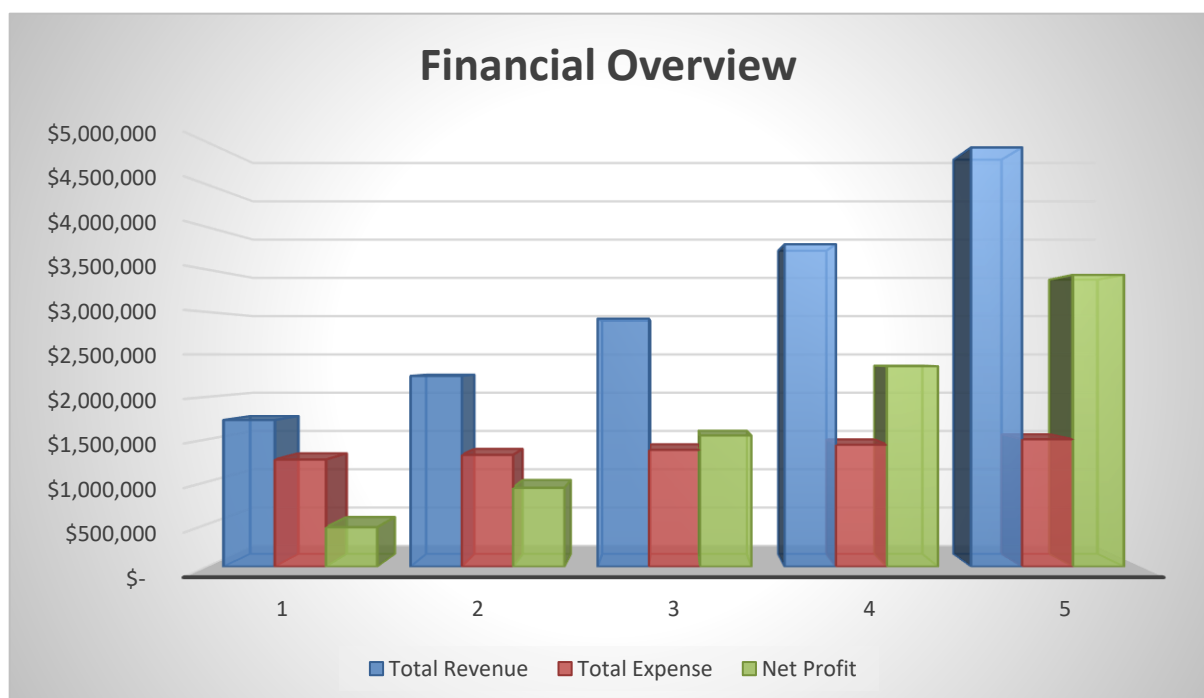
## FINANCIAL OVERVIEW

Below is the financial overview showing the profitability of the business as the sales increases with little change in the cost. The profit is seen to increase with sales.

| Financial Overview   |              |              |              |              |              |
|----------------------|--------------|--------------|--------------|--------------|--------------|
|                      | YEAR 1       | YEAR 2       | YEAR 3       | YEAR 4       | YEAR 5       |
| <b>Total Revenue</b> | \$ 1,728,492 | \$ 2,247,040 | \$ 2,921,151 | \$ 3,797,497 | \$ 4,936,746 |
| <b>Total Expense</b> | \$ 1,262,726 | \$ 1,317,900 | \$ 1,375,849 | \$ 1,436,729 | \$ 1,500,707 |
| <b>Net Profit</b>    | \$ 465,766   | \$ 929,139   | \$ 1,545,303 | \$ 2,360,768 | \$ 3,436,039 |

## Chart

| Health Care Licensing                         |  |             |
|-----------------------------------------------|--|-------------|
| START-UP EXPENSES                             |  |             |
| ITEMS                                         |  | AMOUNT      |
| <b>Pre-Opening Costs (total funds needed)</b> |  |             |
| Advertising                                   |  | \$ 2,500.00 |



|                                                                          |             |                           |
|--------------------------------------------------------------------------|-------------|---------------------------|
| <b>Equipment Purchases</b>                                               |             | \$<br>56,000.00           |
| <b>Legal Costs/Consulting</b>                                            |             | \$<br>3,000.00            |
| <b>Beginning Inventory</b>                                               |             | \$<br>50,000.00           |
| <b>Insurance</b>                                                         |             | \$<br>22,000.00           |
| <b>License Fee</b>                                                       |             | \$<br>2,466.45            |
| <b>Accreditation Survey and/or Medicare &amp; Medicaid Certification</b> |             | \$ -                      |
| <b><i>Deposits</i></b>                                                   |             |                           |
|                                                                          | Building    |                           |
|                                                                          | Utility     | \$<br>1,340.00            |
|                                                                          | Other       | \$<br>5,580.63            |
| <b><i>Staffing</i></b>                                                   |             |                           |
|                                                                          | Recruitment | \$<br>8,540.00            |
|                                                                          | Training    | \$<br>9,000.00            |
|                                                                          | Other       |                           |
| <b>Total Pre-Opening Costs (Sum of Lines 1-13)</b>                       |             | \$<br><b>160,427.08</b>   |
| <b>Purchase Price (Change of Ownership Only)</b>                         |             | \$<br>4,360,000.00        |
| <b>Working Capital (Includes Pre-Opening Cost, See Checklist Below)</b>  |             | \$<br><b>180,838.00</b>   |
| <b>Contingency Funding (See Checklist Below)</b>                         |             | \$<br><b>69,227.00</b>    |
| <b>Total Working Capital, Contingency Funding, and Purchase Price</b>    |             | \$<br><b>4,610,065.00</b> |
|                                                                          |             |                           |
|                                                                          |             |                           |

|                                      |  |                           |
|--------------------------------------|--|---------------------------|
| <b>Cash on Hand</b>                  |  | \$<br>180,000.00          |
| <b>Non-related Financing</b>         |  | \$ -                      |
| <b>Owners/Investors</b>              |  | \$<br>2,996,460.00        |
| <b>Parent or Affiliated Entities</b> |  | \$ -                      |
| <b>Other (describe)</b>              |  | \$<br>1,600,000.00        |
| <b>Total Source of Funds</b>         |  | \$<br><b>4,776,460.00</b> |

## PROFIT AND LOSS

The below table is the profit and loss projection for the first five business years. The sales are seen to increase each year, causing a considerable increase in the net profit too.

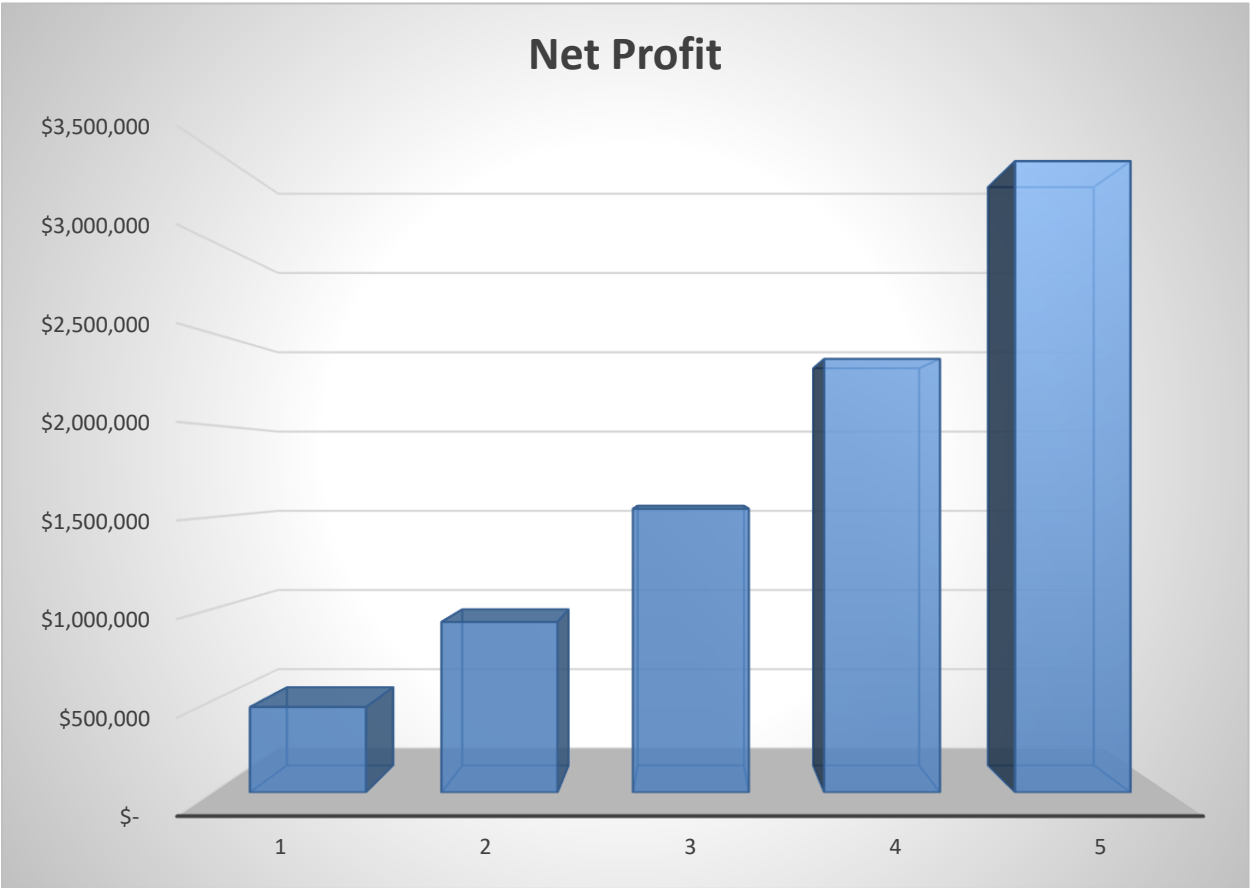
| Health Care Licensing Statement Of Profit or Loss |                 |                 |                 |                 |                    |
|---------------------------------------------------|-----------------|-----------------|-----------------|-----------------|--------------------|
| Profit and Loss                                   | YEAR 1          | YEAR 2          | YEAR 3          | YEAR 4          | YEAR 5             |
| Revenue                                           | \$<br>1,728,492 | \$<br>2,247,040 | \$<br>2,921,151 | \$<br>3,797,497 | \$<br>4,936,746    |
| Cost of Good                                      | \$<br>-         | \$<br>-         | \$<br>-         | \$<br>-         | \$<br>-            |
| Gross Profit                                      | \$<br>1,728,492 | \$<br>2,247,040 | \$<br>2,921,151 | \$<br>3,797,497 | \$<br>4,936,746.00 |
| Gross Profit Margin %                             | 100%            | 100%            | 100%            | 100%            | 100%               |
| Operating Expenses                                |                 |                 |                 |                 |                    |
| Admin and Overhead                                | \$<br>716,306   | \$<br>737,795   | \$<br>759,929   | \$<br>782,727   | \$<br>806,209      |
| Salaries and Wages                                | \$<br>318,204   | \$<br>340,478   | \$<br>364,312   | \$<br>389,814   | \$<br>417,101      |
| Other Operating Expense                           | \$<br>228,216   | \$<br>239,627   | \$<br>251,608   | \$<br>264,189   | \$<br>277,398      |
| Depreciation                                      | \$<br>-         | \$<br>-         | \$<br>-         | \$<br>-         | \$<br>-            |
| Total Operating Expenses                          | \$<br>1,262,726 | \$<br>1,317,900 | \$<br>1,375,849 | \$<br>1,436,729 | \$<br>1,500,707    |
| Operating Margin %                                | 73%             | 59%             | 47%             | 38%             | 30%                |
| Operating income                                  | \$<br>465,766   | \$<br>929,139   | \$<br>1,545,303 | \$<br>2,360,768 | \$<br>3,436,039    |
| Interest Paid                                     | \$<br>-         | \$<br>-         | \$<br>-         | \$<br>-         | \$<br>-            |

|                              |            |            |              |              |              |
|------------------------------|------------|------------|--------------|--------------|--------------|
| <b>Income After Interest</b> | \$ 465,766 | \$ 929,139 | \$ 1,545,303 | \$ 2,360,768 | \$ 3,436,039 |
| <b>TAX Rate %</b>            | 0%         | 0%         | 0%           | 0%           | 0%           |
| <b>Tax Paid</b>              | \$ -       | \$ -       | \$ -         | \$ -         | \$ -         |
|                              |            |            |              |              |              |
| <b>Net Profit</b>            | \$ 465,766 | \$ 929,139 | \$ 1,545,303 | \$ 2,360,768 | \$ 3,436,039 |
| <b>Profit Margin %</b>       | 27%        | 41%        | 53%          | 62%          | 70%          |
|                              |            |            |              |              |              |
| <b>EBITDA</b>                | \$ 465,766 | \$ 929,139 | \$ 1,545,303 | \$ 2,360,768 | \$ 3,436,039 |
| <b>Interest</b>              | \$ -       | \$ -       | \$ -         | \$ -         | \$ -         |
| <b>Depreciation</b>          | \$ -       | \$ -       | \$ -         | \$ -         | \$ -         |
| <b>Tax</b>                   | \$ -       | \$ -       | \$ -         | \$ -         | \$ -         |

From the above analysis, it is projected that the business will have a net revenue of **\$1,728,492** from operation in the first year of business activities. Every business always aspires to increase its revenue. With the marketing strategy adopted, it is assumed that this will yield an increase in the subsequent years of business operations, thereby, causing the revenue for each year to increase too.

The volume of revenue influences the profit that will be made during the year, therefore revenue generated in the course of running the business results in an increase in profit made by the business after taking care of all expenses.

Chart: Profit and Loss



## BALANCE SHEET

Below is the financial forecast of the balance sheet for the business. The below table shows the steady growth in the net worth of the organization, this shows that the business is a very profitable one.

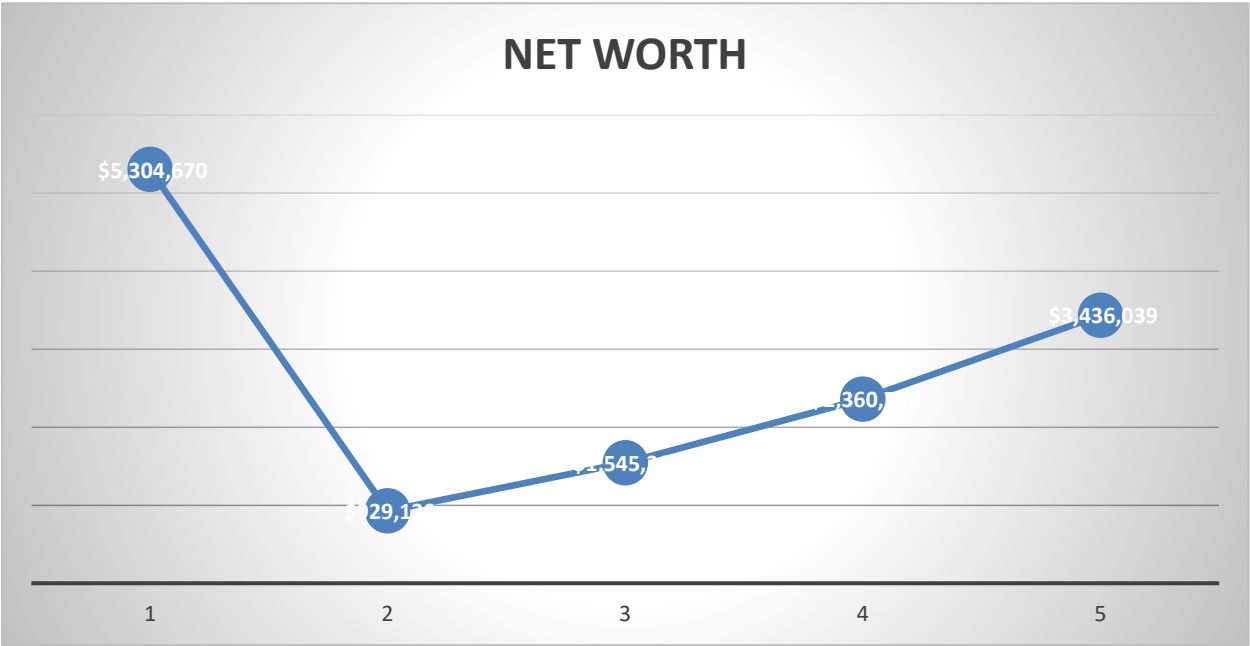
**Table: Balance Sheet**

| BALANCE SHEET            |              |            |              |              |              |
|--------------------------|--------------|------------|--------------|--------------|--------------|
|                          | YEAR 1       | YEAR 2     | YEAR 3       | YEAR 4       | YEAR 5       |
| <b>ASSET</b>             |              |            |              |              |              |
| Cash                     | \$ 5,304,670 | \$ 929,139 | \$ 1,545,303 | \$ 2,360,768 | \$ 3,436,039 |
| Account Receivable       | \$ -         | \$ -       | \$ -         | \$ -         | \$ -         |
| Total current Asset      | \$ 5,304,670 | \$ 929,139 | \$ 1,545,303 | \$ 2,360,768 | \$ 3,436,039 |
|                          |              |            |              |              |              |
| <b>FIXED ASSET</b>       |              |            |              |              |              |
| CAPEX                    | \$ -         | \$ -       | \$ -         | \$ -         | \$ -         |
| Accumulated Depreciation | \$ -         | \$ -       | \$ -         | \$ -         | \$ -         |
| Net Fixed Asset          | \$ -         | \$ -       | \$ -         | \$ -         | \$ -         |
|                          |              |            |              |              |              |
| <b>TOTAL ASSET</b>       | \$ 5,304,670 | \$ 929,139 | \$ 1,545,303 | \$ 2,360,768 | \$ 3,436,039 |
|                          |              |            |              |              |              |
| <b>LIABILITY</b>         |              |            |              |              |              |
| Account payable          | \$ -         | \$ -       | \$ -         | \$ -         | \$ -         |
| Current Borrowing        | \$ -         | \$ -       | \$ -         | \$ -         | \$ -         |
| Others                   | \$ -         | \$ -       | \$ -         | \$ -         | \$ -         |



|                                      |                     |                   |                     |                     |                     |
|--------------------------------------|---------------------|-------------------|---------------------|---------------------|---------------------|
| <b>Total Current Liabilities</b>     | \$ -                | \$ -              | \$ -                | \$ -                | \$ -                |
|                                      |                     |                   |                     |                     |                     |
| <b>Long-Term Liabilities</b>         | \$ 1,842,444        | \$ -              | \$ -                | \$ -                | \$ -                |
|                                      |                     |                   |                     |                     |                     |
| <b>Total Liability</b>               | <b>\$ 1,842,444</b> | <b>\$ -</b>       | <b>\$ -</b>         | <b>\$ -</b>         | <b>\$ -</b>         |
|                                      |                     |                   |                     |                     |                     |
| <b>EQUITY</b>                        |                     |                   |                     |                     |                     |
| <b>Common Stock</b>                  | \$ 2,996,460        | \$ -              | \$ -                | \$ -                | \$ -                |
| <b>Retained Earnings</b>             | \$ 465,766          | \$ 929,139        | \$ 1,545,303        | \$ 2,360,768        | \$ 3,436,039        |
|                                      |                     |                   |                     |                     |                     |
| <b>Shareholder Fund</b>              | \$ 3,462,226        | \$ 929,139        | \$ 1,545,303        | \$ 2,360,768        | \$ 3,436,039        |
|                                      |                     |                   |                     |                     |                     |
| <b>TOTAL EQUILTY &amp; LIABILITY</b> | <b>\$ 5,304,670</b> | <b>\$ 929,139</b> | <b>\$ 1,545,303</b> | <b>\$ 2,360,768</b> | <b>\$ 3,436,039</b> |
|                                      |                     |                   |                     |                     |                     |
| <b>NET WORTH</b>                     | <b>\$ 5,304,670</b> | <b>\$ 929,139</b> | <b>\$ 1,545,303</b> | <b>\$ 2,360,768</b> | <b>\$ 3,436,039</b> |
|                                      |                     |                   |                     |                     |                     |
| <b>BALANCE CHECK</b>                 | \$ -                | \$ -              | \$ -                | \$ -                | \$ -                |

Chart



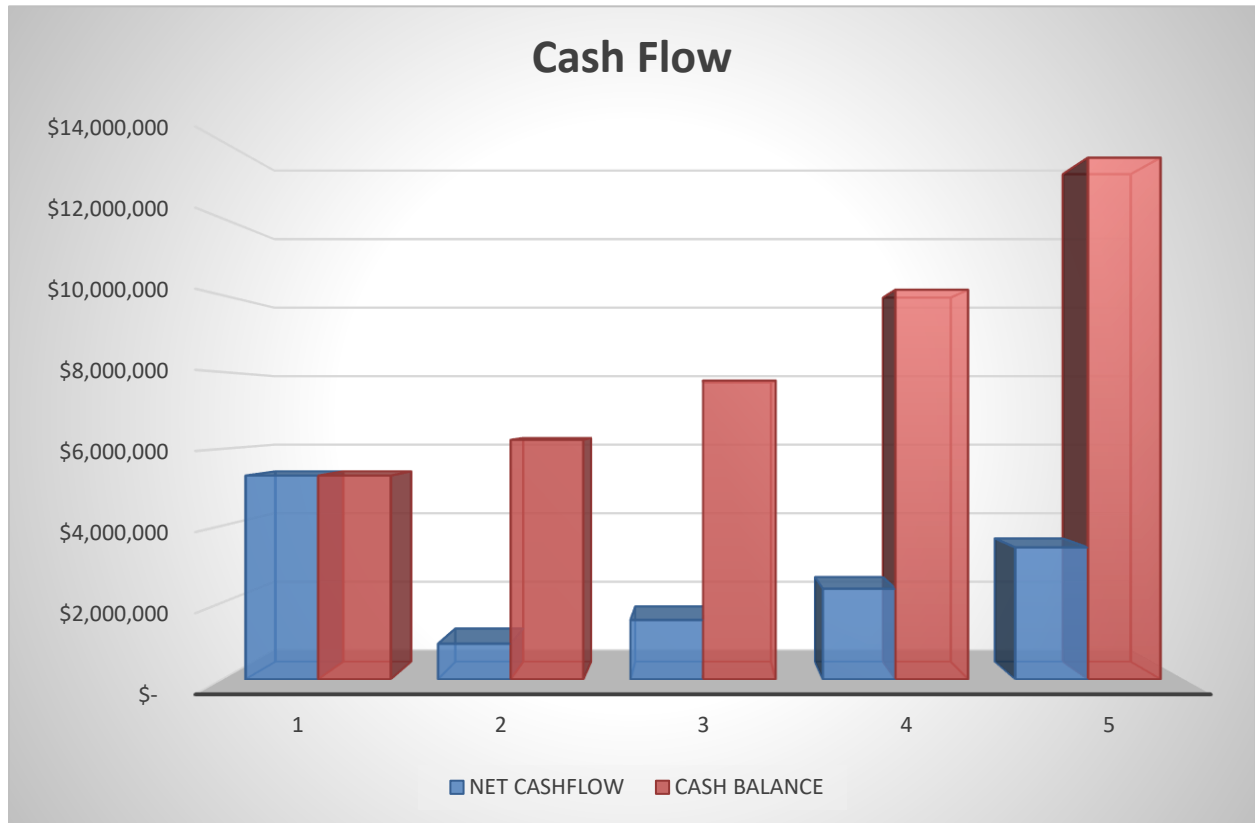
## CASH FLOW STATEMENT

Below is a cash flow statement projection for five years showing the movement of cash within the business. The owner seeks financial funds of \$1,842,444 or more for effective and efficient running of operation.

| Cashflow Statement                  |            |            |              |              |              |
|-------------------------------------|------------|------------|--------------|--------------|--------------|
|                                     | YEAR 1     | YEAR 2     | YEAR 3       | YEAR 4       | YEAR 5       |
| <b>NET INCOME</b>                   | \$ 465,766 | \$ 929,139 | \$ 1,545,303 | \$ 2,360,768 | \$ 3,436,039 |
|                                     |            |            |              |              |              |
| <b>OPERATING ACTIVITIES</b>         |            |            |              |              |              |
| <b>Depreciation</b>                 | \$ -       | \$ -       | \$ -         | \$ -         | \$ -         |
| <b>Change in Account Receivable</b> | \$ -       | \$ -       | \$ -         | \$ -         | \$ -         |
| <b>Change in Account Payable</b>    | \$ -       | \$ -       | \$ -         | \$ -         | \$ -         |
| <b>Others</b>                       | \$ -       | \$ -       | \$ -         | \$ -         | \$ -         |
|                                     | \$ -       | \$ -       | \$ -         | \$ -         | \$ -         |
| <b>OPERATING CASHFLOW</b>           | \$ 465,766 | \$ 929,139 | \$ 1,545,303 | \$ 2,360,768 | \$ 3,436,039 |
|                                     |            |            |              |              |              |
| <b>INVESTING ACTIVITIES</b>         |            |            |              |              |              |
| <b>CAPEX</b>                        | \$ -       | \$ -       | \$ -         | \$ -         | \$ -         |
|                                     |            |            |              |              |              |
|                                     |            |            |              |              |              |
| <b>FREE CASH FLOW</b>               | \$ 465,766 | \$ 929,139 | \$ 1,545,303 | \$ 2,360,768 | \$ 3,436,039 |
|                                     |            |            |              |              |              |
| <b>FINANCING ACTIVITIES</b>         |            |            |              |              |              |

|                           |                         |                    |                    |                    |                    |
|---------------------------|-------------------------|--------------------|--------------------|--------------------|--------------------|
| <b>Debt Repayment</b>     | \$<br>-                 | \$<br>-            | \$<br>-            | \$<br>-            | \$<br>-            |
| <b>Owner Investment</b>   | \$<br>2,996,460         | \$<br>-            | \$<br>-            | \$<br>-            | \$<br>-            |
| <b>Net Borrowing</b>      | \$<br>1,842,444         | \$<br>-            | \$<br>-            | \$<br>-            | \$<br>-            |
| <b>NET FROM FINANCING</b> | <b>\$<br/>4,838,904</b> | <b>\$        -</b> | <b>\$        -</b> | <b>\$        -</b> | <b>\$        -</b> |
|                           |                         |                    |                    |                    |                    |
| <b>NET CASHFLOW</b>       | \$<br>5,304,670         | \$<br>929,139      | \$<br>1,545,303    | \$<br>2,360,768    | \$<br>3,436,039    |
| <b>CASH BALANCE</b>       | \$<br>5,304,670         | \$<br>6,233,809    | \$<br>7,779,112    | \$<br>10,139,880   | \$<br>13,575,919   |

## Chart



The graph above shows an upward movement of closing cash balance which indicates that there is an increase in cash balance at the end of every period.

## BREAK-EVEN ANALYSIS

Break-even is the point where the business neither makes profit nor loss. This means that at break-even, the business is only able to pay up its expenses both fixed and variable cost without any excess. The essence of break-even is to determine the number of sales that could lead to profitability.

| Break-Even Analysis        |                 |                 |                 |                 |                 |
|----------------------------|-----------------|-----------------|-----------------|-----------------|-----------------|
|                            | YEAR 1          | YEAR 2          | YEAR 3          | YEAR 4          | YEAR 5          |
| <b>Fixed Cost</b>          | \$<br>1,262,726 | \$<br>1,317,900 | \$<br>1,375,849 | \$<br>1,436,729 | \$<br>1,500,707 |
| <b>Variable Cost</b>       | \$<br>-         | \$<br>-         | \$<br>-         | \$<br>-         | \$<br>-         |
| <b>Contribution margin</b> | 100%            | 100%            | 100%            | 100%            | 100%            |
| <b>Revenue</b>             | \$<br>1,728,492 | \$<br>2,247,040 | \$<br>2,921,151 | \$<br>3,797,497 | \$<br>4,936,746 |
| <b>Break-Even Point</b>    | \$<br>1,262,726 | \$<br>1,317,900 | \$<br>1,375,849 | \$<br>1,436,729 | \$<br>1,500,707 |

The business is seen to break even in the first year of business activities. This means that there must be more than \$ 1,262,726 worth of revenue yearly before any profit can be recorded. The above analysis can be seen in the below graph showing the breakeven income and revenue.

Chart

